

DUPONT PRACTICE CASE: COSTCO WHOLESALE CORP.



Costco is a global retail giant known for its membership-only warehouse clubs that offer bulk products at low prices. It has built a loyal customer base by focusing on cost efficiency, high-quality private label products, and exceptional member benefits. In the context of the business world, Costco is important because it challenges traditional retail models through its unique pricing strategy, limited product selection, and efficient inventory turnover, which results in low operating costs and high sales volume. Costco's approach to delivering value to customers, along with its financial success, makes it a significant player in the retail industry and an influential example of how scale and efficiency can drive profitability in a highly competitive market.

Costco's financial statements are included in the Appendix. This exercise focuses on years 2021 through 2023, with more recent financial information provided for current context.

TABLE OF CONTENTS

DUPONT PRACTICE CASE: COSTCO WHOLESALE CORP. 1

 QUESTION 1: Assessing profitability 2

 QUESTION 2: Cash conversion cycle 3

 QUESTION 3: Assessing liquidity 4

 QUESTION 4: Assessing solvency 4

 APPENDIX: Costco Financial Statements 5

QUESTION 1: Assessing profitability

REQUIRED: Calculate the ratios listed in the table below and provide an overall assessment of profitability. Show all calculations and round to one decimal point.

NOTE: When providing an overall assessment, it is important to include explanations of relevant ratios. Providing an explanation does **not** mean simply listing facts about ratio variables (e.g., "gross profit is higher because cost of sales is lower relative to sales"). Rather it means attempting to identify the reasons for the differences (e.g., what is it that makes the costs of sales lower relative to sales?). In other words, calculating the ratios is only the first step (please state any and all assumptions you used in making the calculations). Contextualizing those numbers and explaining them is the real focus.

RATIO	2023	2022	2021
Gross profit margin = gross profit / net sales	$(\$242,290 - \$212,586) / \$242,290 = 12.3\%$	$(\$226,954 - \$199,382) / \$226,954 = 12.1\%$	$(\$195,929 - \$170,684) / \$195,929 = 12.9\%$
Operating profit margin = operating profit / sales	$8,114 / 242,290 = 3.3\%$	$7,793 / 226,954 = 3.4\%$	$6,708 / 195,929 = 3.4\%$
Profit margin = net income / sales	$6,292 / 242,290 = 2.6\%$	$5,915 / 226,954 = 2.6\%$	$5,079 / 195,929 = 2.6\%$
Asset turnover = sales / average total assets	$242,290 / ((68,994 + 64,166)/2) = 3.64$	$226,954 / ((64,166 + 59,268)/2) = 3.68$	$195,929 / ((59,268 + 55,556)/2) = 3.41$
Return on assets (ROA) = net income / average total assets = profit margin x asset turnover	$6,292 / ((68,994 + 64,166) / 2) = 9.5\%$ Or $2.6\% \times 3.64 = 9.5\%$	$5,915 / ((64,166 + 59,268)/2) = 9.6\%$ Or $2.6\% \times 3.68 = 9.6\%$	$5,079 / ((59,268 + 55,556)/2) = 8.8\%$ Or $2.6\% \times 3.41 = 8.9\%$ Difference due to rounding
Financial leverage (FL) = average total assets / average total equity	$((68,994 + 64,166)/2) / ((25,058 + 20,647)/2) = 2.91$	$((64,166 + 59,268)/2) / ((20,647 + 18,078)/2) = 3.19$	$((59,268 + 55,556)/2) / ((18,078 + 18,705)/2) = 3.12$
Return on equity (ROE) = net income / average total equity = ROA x FL	$6,292 / ((25,058 + 20,647)/2) = 27.5\%$ Or $9.5\% \times 2.91 = 27.6\%$ Difference due to rounding	$5,915 / ((20,647 + 18,078)/2) = 30.5\%$ Or $9.6\% \times 3.19 = 30.6\%$ Difference due to rounding	$5,079 / ((18,078 + 18,705)/2) = 27.6\%$ Or $8.9\% \times 3.12 = 27.8\%$ Difference due to rounding

Overall assessment of profitability:

- ☐ **Gross profit margin:** very steady and consistent with minor fluctuations. Costco effectively managed its costs relative to sales. Gross profit margin is very small relative to the other companies we have considered so far in the course.
- ☐ **Operating margin:** very steady, decreasing slightly due to slight increase in SG&A as percentage of sales.
- ☐ **Profit margin:** very steady with minor fluctuations described above. Profit margin is much lower than most of the other companies we have considered so far in the course.
- ☐ **Asset turnover:** very steady with minor fluctuations, such as higher holdings of cash offset by lower inventories and lease assets. In addition, sales were higher in fiscal 2023 in part due to 53 weeks included in the fiscal year (vs. 52 in prior years). Asset turnover is very high relative to other companies we have considered in the course so far.
- ☐ **Financial leverage:** decreasing leverage with increasing retained earnings.
- ☐ **Return on equity:** decline primarily due to lower leverage. Notice that despite extremely low profit margins, Costco is able to generate significant ROE.

Costco has demonstrated strong and stable profitability over the past three years. The company maintains consistent profit margins and effectively utilizes its assets to generate sales and profits. The reduction in financial leverage suggests a strategic move towards a more conservative capital structure, potentially enhancing long-term financial stability. Overall, Costco's profitability metrics indicate a healthy financial position with efficient operations and solid returns to shareholders.

NOTE: Full financial statements and notes would help provide additional insights and interpretation.

QUESTION 2: Cash conversion cycle

REQUIRED: Estimate the cash conversion cycle for Costco and compare it to Walmart. Show all calculations (as required) and state all necessary assumptions. Provide an overall interpretation and assessment of the cash conversion cycle.

NAME	Costco	Walmart
Days of inventory on hand 2023	$= 365 / \text{Inventory turnover} = 365 * (\text{Avg Inventory} / \text{COGS})$ $= 365 * [((16,651 + 17,907) / 2) / 212,586]$ $= 29.7 \text{ days}$ Or, using 371 days for 53 weeks reported: $= 371 * (\text{Avg Inventory} / \text{COGS})$ $= 371 * [((16,651 + 17,907) / 2) / 212,586]$ $= 30.2 \text{ days}$	44.5 days
Days of sales outstanding 2023	$= 365 / \text{AR turnover} = 365 * (\text{Avg Net A/R} / \text{Sales})$ $= 365 * [((2,285 + 2,241) / 2) / 242,290]$ $= 3.4 \text{ days}$ Or, using 371 days for 53 weeks reported: $= 371 * (\text{Avg Net A/R} / \text{Sales})$ $= 371 * [((2,285 + 2,241) / 2) / 242,290]$ $= 3.5 \text{ days}$	4.8 days
Days in payables 2023	$= 365 / \text{Payables turnover} = 365 * (\text{Avg A/P} / \text{COGS})$ $= 365 * [((17,483 + 17,848) / 2) / 212,586]$ $= 30.3 \text{ days}$ Or, using 371 days for 53 weeks reported: $= 371 * (\text{Avg A/P} / \text{COGS})$ $= 371 * [((17,483 + 17,848) / 2) / 212,586]$ $= 30.8 \text{ days}$	42.9 days
Cash conversion cycle 2023	$\text{DSO} + \text{DOH} - \text{DPO}$ $= 3.4 + 29.7 - 30.3$ $= 2.8 \text{ days}$ Or, using 371 days for 53 weeks reported: $= 2.9 \text{ days}$	6.4 days

Overall interpretation and assessment:

Comparing Costco and Walmart's efficiency metrics highlights how their distinct business models and strategies impact operational performance.

- ❑ **Costco's Days of Inventory on Hand** is approximately **30 days**, significantly lower than Walmart's **44.5 days**, which reflects Costco's strategy of offering a limited selection of bulk products leading to faster inventory turnover. This efficient inventory management is central to Costco's warehouse club model, focusing on high-volume sales of a narrower product range, which reduces holding costs and minimizes the risk of obsolescence. In contrast, Walmart offers a vast variety of products to cater to a broad customer base across its extensive international footprint, resulting in longer inventory holding periods.
- ❑ **Costco's Days of Sales Outstanding** is slightly lower at **3.4 days** compared to Walmart's **4.8 days**, indicating that Costco collects cash from customers marginally faster, which improves its liquidity. Both companies primarily deal in cash or immediate payment methods, but Costco's membership model may contribute to quicker cash inflows.
- ❑ **Days in Payables** for Costco are **30.3 days**, which is shorter than Walmart's **42.9 days**, suggesting that Costco pays its suppliers more promptly. This practice could strengthen supplier relationships and potentially lead to better purchasing terms, supporting Costco's strategy of offering low prices to its members.
- ❑ **The Cash Conversion Cycle (CCC)** brings these elements together, with Costco at a swift **2.8 days** versus Walmart's **6.4 days**, demonstrating Costco's superior efficiency in managing cash. Costco's shorter CCC indicates that it ties up its capital for a shorter duration, which can be attributed to its streamlined product offerings, efficient inventory management, and quicker payment cycles. Walmart's longer CCC reflects its strategic choice to offer a wider array of products across global markets, which, while attracting a diverse customer base, results in longer inventory turnover and payment periods. In essence, these efficiency metrics illustrate how Costco's focused product assortment and operational efficiency contrast with Walmart's broad product variety and expansive international operations, each aligning with their respective business strategies and market positions.

NOTE: Full financial statements and notes would help provide additional insights and interpretation.

QUESTION 3: Assessing liquidity**REQUIRED:** Calculate the liquidity ratios listed below and use them to assess Costco's liquidity relative to Walmart.

NAME	Costco	Walmart
Current ratio 2023	Current assets / current liabilities = \$35,879 / \$33,583 = 1.07	0.82
Quick ratio 2023	= (cash + receivables + marketable securities) / current liabilities = (\$13,700 + 2,285 + 1,534) / 33,583 = 0.52 Note: Costco reports "short-term investments" rather than "marketable securities"	0.18

Overall interpretation and assessment:

- ☐ Costco's liquidity ratios indicate a stronger short-term financial position compared to Walmart. In 2023, Costco's current ratio was 1.07, meaning it has \$1.07 in current assets for every \$1.00 of current liabilities, while Walmart's current ratio was lower at 0.82. Similarly, Costco's quick ratio was 0.52, showing it has \$0.52 in liquid assets excluding inventory per dollar of current liabilities, whereas Walmart's quick ratio was just 0.18. These figures suggest that Costco is better positioned to meet its short-term obligations without relying heavily on selling inventory.
- ☐ The differences in these liquidity ratios are closely tied to each company's business model. Costco operates on a membership-based warehouse model, offering a limited selection of bulk products. This approach leads to faster inventory turnover and generates upfront cash from membership fees, enhancing liquidity. Additionally, Costco's streamlined product range means less cash is tied up in inventory and receivables. In contrast, Walmart's strategy involves offering a vast array of products across numerous international markets. This requires maintaining larger inventories and can result in more cash being tied up in stock and accounts receivable. Consequently, Walmart's liquidity ratios are lower, reflecting the challenges of managing liquidity in a business model that emphasizes extensive product variety and global operations.
- ☐ NOTE: Full financial statements and notes would help provide additional insights and interpretation.

QUESTION 4: Assessing solvency**REQUIRED:** Calculate the solvency ratios listed below and use them to assess Costco's solvency relative to Walmart.

NAME	Costco	Walmart
Debt-to-equity 2023	= total liabilities / total equity = \$43,936 / \$25,058 = 1.75	1.90
Interest coverage 2023	= Earnings before interest and taxes / interest expense = (\$6,292 + 2,195 + 160) / 160 = 54.04	10.52

- ☐ Costco and Walmart's solvency ratios highlight differences in their ability to manage long-term debts and financial obligations. In 2023, Costco's **debt-to-equity ratio** was **1.75**, indicating it has \$1.75 in total liabilities for every \$1.00 of equity. Walmart's debt-to-equity ratio was slightly higher at **1.90**, meaning it relies marginally more on debt financing relative to its equity. While both companies use debt to finance their operations, the similarity in these ratios suggests they maintain a comparable balance between debt and equity in their capital structures.
- ☐ However, a notable difference appears in their **interest coverage ratios**. Costco's interest coverage ratio was a robust **54.04**, showing that its earnings before interest and taxes (EBIT) are over 54 times greater than its interest expenses. In contrast, Walmart's interest coverage ratio was **10.52**, indicating it earns just over ten times its interest obligations. While Walmart has strong interest coverage, Costco's metrics are superior.
- ☐ NOTE: Full financial statements and notes would help provide additional insights and interpretation.

APPENDIX: Costco Financial Statements

Consolidated Income Statements USD \$ in millions, for 12 months ended	Aug. 31, 2025	Sep. 1, 2024	Sep. 03, 2023	Aug. 28, 2022	Aug. 29, 2021	Aug. 30, 2020
Total revenue	\$275,235	\$254,453	\$242,290	\$226,954	\$195,929	\$166,761
Merchandise costs	239,886	222,358	212,586	199,382	170,684	144,939
Selling, general and administrative	24,966	22,810	21,590	19,779	18,537	16,387
Operating Income	10,383	9,285	8,114	7,793	6,708	5,435
Interest expense	-154	-169	-160	-158	-171	-160
Interest income and other, net	589	624	533	205	143	92
Income before taxes	10,818	9,740	8,487	7,840	6,680	5,367
Provision for income taxes	2,719	2,373	2,195	1,925	1,601	1,308
Net income	8,099	7,367	6,292	5,915	5,079	4,059

Consolidated Balance Sheets USD \$ in millions	Aug. 31, 2025	Sep. 1, 2024	Sep. 03, 2023	Aug. 28, 2022	Aug. 29, 2021	Aug. 30, 2020
CURRENT ASSETS						
Cash and cash equivalents	\$14,161	\$9,906	\$13,700	\$10,203	\$11,258	\$12,277
Short-term investments	1,123	1,238	1,534	846	917	1,028
Receivables, net	3,203	2,721	2,285	2,241	1,803	1,550
Merchandise inventories	18,116	18,647	16,651	17,907	14,215	12,242
Other current assets	1,777	1,734	1,709	1,499	1,312	1,023
Total current assets	38,380	34,246	35,879	32,696	29,505	28,120
OTHER ASSETS						
Property and equipment, net	31,909	29,032	26,684	24,646	23,492	21,807
Operating lease right-of-use assets	2,725	2,617	2,713	2,774	2,890	2,788
Other long-term assets	4,085	3,936	3,718	4,050	3,381	2,841
TOTAL ASSETS	77,099	69,831	68,994	64,166	59,268	55,556
CURRENT LIABILITIES						
Accounts payable	19,783	19,421	17,483	17,848	16,278	14,172
Accrued salaries and benefits	5,205	4,794	4,278	4,381	4,090	3,605
Accrued member rewards	2,677	2,435	2,150	1,911	1,671	1,393
Deferred membership fees	2,854	2,501	2,337	2,174	2,042	1,851
Current portion of long-term debt	75	103	1,081	73	799	95
Other current liabilities	6,514	6,210	6,254	5,611	4,561	3,728
Total current liabilities	37,108	35,464	33,583	31,998	29,441	24,844
OTHER LIABILITIES						
Long-term debt, excluding current portion	5,713	5,794	5,377	6,484	6,692	7,514
Long-term operating lease liabilities	2,460	2,375	2,426	2,482	2,642	2,558
Other long-term liabilities	2,654	2,576	2,550	2,555	2,415	1,935
Total liabilities	47,935	46,209	43,936	43,519	41,190	36,851
EQUITY						
Common Stock and additional paid-in capital	8,284	7,831	7,342	6,886	7,035	6,702
Accumulated other comprehensive loss	-1,770	-1,828	-1,805	-1,829	-1,137	-1,297
Retained earnings	22,650	17,619	19,521	15,585	11,666	12,879
Noncontrolling interests	0	0	0	5	514	421
Total equity	29,164	23,622	25,058	20,647	18,078	18,705
TOTAL LIABILITIES AND EQUITY	\$77,099	\$69,831	\$68,994	\$64,166	\$59,268	\$55,556